

CHAPTER 3A: INCOME UNDER HEAD CAPITAL GAINS

CHARGEABILITY OF CAPITAL GAINS [SECTION 45(1)]

- ✓ Any **profits or gains** arising [Includes Loss as well]
- ✓ from the **transfer** of a **capital asset**
- ✓ shall be **chargeable** to Tax
- ✓ In the **PY** in which the **transfer took place**.

$$CG = CA + TRSF$$

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CAPITAL ASSETS [SECTION 2(14)]

"Capital asset" includes **all assets** Except

- any **stock-in-trade** RM/WIP/FG (Inventory) → Profit → PURP
- Personal movable assets**. However, following personal movable assets shall be capital asset—

Bullion

Jewellery	Archaeological collections	Drawings
Paintings	Sculptures	Any work of art

- Rural Agriculture Land**.

Meaning of Urban Area

- Any area (municipality, cantonment board etc.) which has a population of **10,000 or more**.
- Following area within the distance measured aerially

Population according to latest census	Shortest Distance
More than 10,000 but upto 1,00,000	Up to 2 Km
More than 1,00,000 but upto 10,00,000	Up to 6 Km
More than 10,00,000	Up to 8 Km

- Gold Deposit Bonds** 1999, GMS

TYPES OF CAPITAL ASSETS

- Long Term Capital Asset** → Other than Short Term Capital Asset

2. Short Term Capital Asset

Particulars	POH
Listed Securities	12 Month
Units Of Equity Oriented MF	12 Month
Zero Coupon Bond	12 Month
Unlisted Shares	24 Month
Land & Building	24 Month
Unlisted Debentures	24 Month
Other Capital Assets	24 Month

COMPUTATION OF STCG & LTCG [SECTION 48]

Short Term Capital Gain	Amount
Full Value of Consideration (Sale Value)	-
Less: Transfer Expenses eg brokerage/commission (Except STT) — 16 MORE	-
Net Consideration	-
Less: COA — Purch cost / Construct cost	-
Less: Cost of Improvement — cap. exp	-
Capital Gain Before Exemption	-
Less Exemption Claimed 54/54B/54D/54EC/54F	-
STCG/LTCG Taxable	-

Notes:

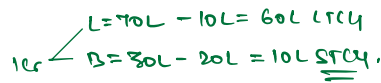
- If Long term capital asset is Land or building or both, then option for the indexation facility is given only for the purpose of "Calculation of Tax" to resident individual or HUF to opt lower of the following:
 - Tax on LTCG of land or building without Indexation @12.5%
 - Tax on LTCG of land or building after Indexation @20%

Indexed COA / COI

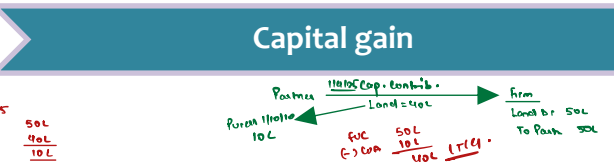
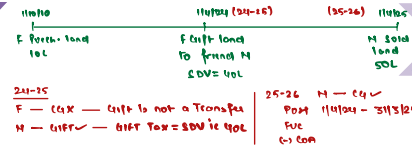
$$\frac{COA \text{ or } COI}{\text{Inflation Factor of Acquisition or Improvement Year}} \times \text{Inflation index of Transfer Year}$$



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TREATMENT OF ADVANCE MONEY FORFEITED

Forfeited <u>Before 1.4.2014</u>	Reduced from <u>Original COA</u> before Indexation
Forfeited <u>on/after 1.4.2014</u>	Taxable u/h IFOS u/s 56(2)(ix)

TRANSFER OF CAPITAL ASSET TO FIRM

If any partner transfers **capital asset** to the firm as a capital contribution or otherwise, then **capital gain** shall be arisen in the hands of such partner and shall be dealt as follows:

Particulars	Capital Contribution By Partner
Sale Consideration	Value of CA recorded in Firm books.
Deemed Transfer	Year of contribution
Taxability	PY in which CA is givento firm

CONVERSION OF ASSET INTO STOCK-IN-TRADE [SECTION 45(2)]

- Conversion of capital asset into **stock** shall be **deemed** to be transfer and **capital gain** shall be arise in the year of such conversion.
- For this purpose, **FMV** on date of conversion shall be considered as **full value of consideration**.
- Capital gain** shall be **taxable** in the year in which **such SIT is sold**.

Capital Gain	Amount	PGBP	Amount
FMV on conversion Date	-	Sale Value	-
Less: COA / ICOA	-	FMV on conversion date	-
Less: COI/ICOI	-		
STCG/LTCG	-	PGBP	-

COMPULSORY ACQUISITION OF CAPITAL ASSET [SECTION 45(5)]

FVC	Compensation Fixed by Govt.
Taxability	Year in which initial compensation is received
Transfer	Year In which asset is compulsorily acquired .
Indexation	Shall be done up to the year of transfer
Balance compensation	No Tax Implication shall arise
Enhanced compensation	Taxable in the year of receipt after deducting litigation expenses .
Nature of Enhanced Compensation	Nature of CG of Enhanced compensation shall be same as original capital gain
Interest on delayed compensation	Taxable on receipt basis under head other sources [Flat 50% deduction is allowed]

TREATMENT OF INSURANCE CLAIM RECEIVED

If any capital asset is **destroyed** due to fire, flood, earthquake, riot, civil disturbance etc. and **insurance claim** is **received**, then **capital gain** is **applicable** and shall be calculated as follows

Particulars	Destruction of CA [Section 45(1A)]
Sale Consideration	Insurance Compensation
Deemed Transfer	In The PY of Destruction
Taxability	PY of Receipt of Money

Note: If claim is **received in Kind**, then **FMV** of such kind claim shall become **Full Value of consideration**.

FVC IN CASE OF TRANSFER OF LAND OR BUILDING OR BOTH

[SECTION 50C/ 43CA] **Imp**

In case of land or building or both, If SDV **exceeds 110%** of sales consideration then SDV shall be considered as FVC.

If SDV exceeds 110% Of Sales Consideration	
Yes	NO
FVC = SDV	FVC = Actual Sales Consideration

SDV	VO	SV
90L	90L	90L
90L	90L	90L
90L	90L	90L
90L	90L	90L
90L	90L	90L
90L	90L	90L
90L	90L	90L
90L	90L	90L
90L	90L	90L



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$$SDV = 77L \\ SV = 70L - 110\% = 77L \quad \left. \vphantom{SDV = 77L} \right\} FVC = SV = 70L$$

$$SDV = 75L \\ SV = 70L - 110\% = 77L \\ FVC = 70L$$

$$SDV > 110\% \text{ of Sales consid.}$$

$$FVC = SDV. \quad FVC = SV.$$

$$\textcircled{*} SDV = 90L \checkmark$$

$$\textcircled{*} SV = 70L - 110\% = 77L \quad \left. \vphantom{SDV = 90L} \right\} FVC = 90L \text{ i.e. SDV.}$$

AIO Payee
ECS
NB Cr. Dr VBI
IMP RTGS HFT

11/10/18
ATS
SDV = 70L

11/10/18
Registration
SDV = 80L

If the **Date of agreement** and **date of registration** is different and advance has been received by **specified mode** at the time of agreement

Yes	NO
SDV as on the 'agreement date' shall be considered	SDV as on the 'registration date' shall be Considered

Where assessee claims that SDV is more than the **FMV of immovable property** and such **SDV** is not disputed in any appeal then A.O may refer the case to **valuation officer** and **FVC** shall be determined as follows:

Value adopted by VO	FVC
Exceeds SDV	SDV
Doesn't exceed SDV But Exceed Actual Sale Value	VO Value
Is less than Actual Sale Value	Sale Value

COA OF SELF-GENERATED ASSETS

	COA	COI
Brand name & Trademark associated with the business or profession	Nil	NA
Tenancy rights	Nil	NA
Goodwill of a business or profession	Nil	Nil
Right to manufacture, produce or process any article or thing, for a consideration (Patent)	Nil	Nil
Right to carry on any business or profession	Nil	Nil

Note:

- If the **asset is purchased** then **purchase price** is the **COA**.
- In case of goodwill of a business or profession on which depreciation is claimed upto **PY 2019-20**, the COA of such goodwill would be purchase price as reduced by the **total amount** of depreciation (up to P.Y.19-20)
- FMV as on 1-4-2001 is ignored.

CAPITAL GAIN IN CASE OF SLUMP SALE [SECTION 50B] Imp.

When **whole unit** is **sold at lumpsum** without valuing each asset individually is termed as **slump Sale**.

FVC	Higher of: Sales Consideration Received OR FMV of capital Asset transferred
COA	Net worth of unit. However, if any asset has been revalued, then such revaluation shall be ignored

Notes:

- Net Worth = Total Assets – outside Liabilities**
- If any **upward revaluation** of asset has been done, then such revaluation shall be **ignored**.
- If **Net worth** is **negative** then consider **it as zero**.
- If **unit is sold after holding for more than 36 months**, then capital gain shall be **LTCG** otherwise **STCG**.
- Assets for which **100% deduction** is allowed under PGBP → **Book value Shall be NIL**.
- Depreciable Assets = **WDV** as per block if Asset Method.

CAPITAL GAIN IN CASE OF DEPRECIABLE ASSET

- All the **assets of the block** are transferred:
In case all the assets in any block are transferred during the previous year then the block shall **ceases to exist** and **no depreciation** will be allowed. It can happen in the following two cases:
 - STCG u/s 50** When **Sale price > Block Value**
 - STCL u/s 50** When **Sale price < Block Value**
- Few Assets of block** are sold but the **sale value exceeds WDV** of Block then **STCG** Shall arise.

15% Block
A/B/C = WDV = 10L
At the time of sale
(a) CV = 12L → STCG = 2L
(b) CV = 9L → STCL = 1L

16% Block
A/B/C = WDV = 10L
At the time of sale
(a) CV = 12L → STCG = 2L
(b) CV = 9L → STCL = 1L

CAPITAL GAIN IN CASE OF SALE OF SHARE

- In case of **original shares**, **COA** shall be the **actual cost** but if it was purchased **before 1/4/2001**, COA shall be the **actual cost** or **FMV as on 01.04.2001, whichever is higher**.



- B. In case of **bonus shares**, COA shall be **nil** but if **bonus shares** are issued before 01.04.2001, **COA = FMV on 1/4/2001**
- C. In case of **right shares**, COA shall be the **amount** for which such shares have been purchased.
- D. If **right to purchase right shares** has been **renounced**, **amount received** shall be considered to be **short term capital gains**.
- E. **COA for the right renouncee** shall be the **amount paid** to the person **renouncing the right** and **amount paid** to the company.

Transfer of Equity Shares or Equity oriented units or units of business trust

LTCG u/s 112A — FA 2018 — 11/2/2018

1. LTCG on transfer of equity shares or equity oriented units or units of business trust, **in excess of ₹ 1,25,000** shall be **taxed at 12.5%** if following conditions are satisfied:

- STT is paid** at the time of **acquisition and transfer of equity shares**
- STT is paid** at the time of **transfer of equity oriented units or units of business trust**.

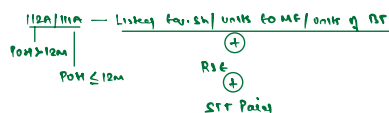
2. **COA in case of Capital Gains u/s 112A**

In case of equity shares or units of **equity oriented mutual funds** or units of business trust which have been sold w.e.f. 01.04.2018 onwards, COA shall be higher of:

- COA
- Lower of
 - FMV of asset on 31.01.2018 (Highest Quoted Price)**
 - Actual sale value.**

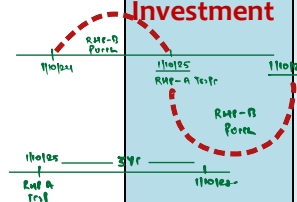
STCG u/s 111A

STCG on transfer of **equity shares** or **equity oriented units** or units of **business trust** shall be **taxable** at the rates of **20%** if **STT is paid** at the time of **transfer of such assets**



EXEMPTIONS

	Section 54 *	Section 54B	Section 54D
Asset Transferred	Long Term Residential House Property	Agriculture land (Urban) LT/ST	L/B – Industrial Undertaking Compulsory Acquired
Assessee	Individual / HUF	Individual / HUF	Any Assessee
Investment	New Residential House Property (Note)	New Agriculture Land (Urban/Rural)	New Land / Building for Industrial Undertaking
Time Limit for Investment	Purchase – within 1 yr before or within 2 years from transfer date Construct – within 3 years from Transfer Date	Within 2 years from Transfer Date	Within 3 years from Date of Receipt of compensation
Quantum Of Exemption	Lower of: - Amount Invested - Capital Gain - Rs. 10 Crore	Lower of: - Amount Invested - Capital Gain	Lower of: - Amount Invested - Capital Gain
Lock in period of new asset	3 Years. Otherwise, LTCG exempted earlier shall be reduced from COA of New Asset	Same as Section 54	Same as Section 54
CGAS	Available	Available	Available



L HP 541

D HP Purch
K HP Purch

Note:

- If **LTCG** is up to **2 crores**, then assessee can claim **exemption** u/s **54** for **2 house property**. In other cases, he can only purchase one house for claiming exemption under this section.
- No Capital Gain** shall arise on transfer of **Urban agricultural land** if following conditions are satisfied:
 - Assessee is individual or HUF
 - Urban agricultural land is **compulsorily acquired** by Government.
- Exemption u/s 54B shall be allowed only if **Urban Agricultural land** is used for agricultural purpose for **at least 2 years** before the date of transfer.

CAPITAL GAINS A/C SCHEME (CGAS)

- If Investment is not made before **Due Date of filing** of ROI, then to claim **exemption** assessee can deposit the amount in CGAS if not invested for the specified purpose.
- Such deposit in CGAS should be made before filing ROI or before Due Date of filing ROI, **whichever is earlier**.
- If **amount deposited** is not utilized for specified purpose within stipulated period, then unutilized amount shall be taxed as capital gain of PY in which specified period expires.
- If **Individual** dies before stipulated period, **unutilized amount** is **not taxable** in the hands of legal heirs of deceased individual.

LT RHP — HUF RHP — 54
 LT Jew — HUF Jew — 54B
 LT Land — HUF RHP — 54B
 HUF Land — 54EC

OTHER EXEMPTIONS

	Section 54EC	Section 54F
Asset Transferred	Long Term Land/Building	Any LTCA <u>Except Residential HP</u>
Assessee	Any Assessee	Individual / HUF
Investment	Specified Bonds	New RHP
Time Limit for Investment	Within 6 months from the transfer date	Same as Section 54
Quantum Of Exemption	Lower of: - Amount Invested - Capital Gain - Subject to Max = 50 Lacs	Lower of: $\frac{\text{LTCG} \times \text{Amount Invested (Max 10 Crore)}}{\text{Net Consideration}}$ - LTCG
Additional Condition	Not Applicable	- Assessee should not own more than one RHP on the date of Transfer Of LTCA - Should not purchase any other house within 2 years or construct within 3 years after date of transfer of original Asset.
Lock in period of new asset	5 Years. Otherwise, LTCG exempted earlier shall be Taxable in the year in which the asset is sold or converted into money	3 Years. Otherwise, LTCG exempted earlier shall be Taxable in the year in which the asset is sold
CGAS	Not Available	Available

HUF
 RHP
 PFCL
 IRDL

Section 54EC Bonds
 a) HUDCO : Housing and Urban Development Corporation Limited
 b) IRDEA: Indian Renewable Energy Development Agency

